

AI (Artificial Intelligence) Industry

Industry Size

\$244 Bn

Global AI Market, 2025
(Source)

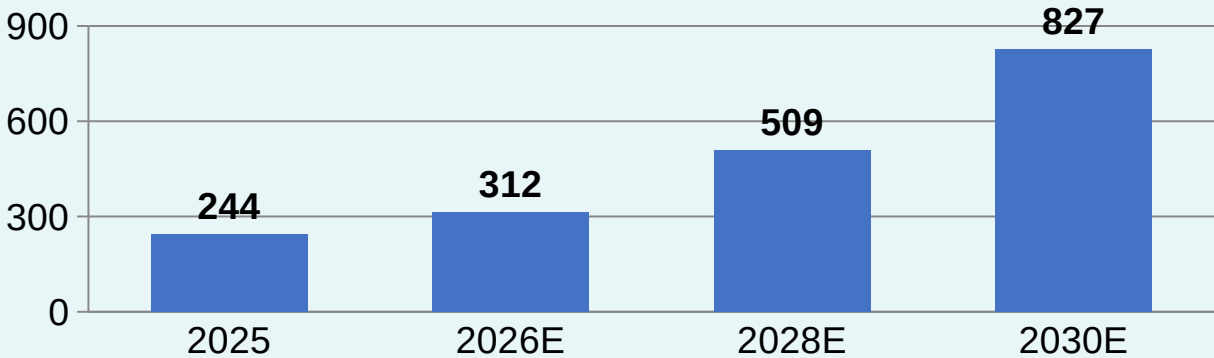
2030E market: **US\$827 Bn**

CAGR 2025-30: **27.7%**

VC into AI, 2025: **US\$202 Bn**
(Statista; BusinessTats, 2026)

Industry Growth

Global AI Market Size (US\$ Bn), 27.7% CAGR



Key Players

#	COMPANY	WHAT IT DOES	FUNDING
1	OpenAI	AI models and products	\$182.6B
2	ANTHROPIC	AI models and products	\$60B
3	databricks	Data storage and analytics	\$20B
4	CURSOR	AI coding software	\$3.3B
5	Mistral AI	Open source AI model developer	\$3.1B
6	Safe Superintelligence Inc.	AI research	\$3B
7	Crusoe	AI data center builder	\$2.9B
8	Reflection	Open source AI models	\$2.1B
9	SKILD /AI	AI systems for robotics	\$2B
10	THINKING MACHINES	AI research and products	\$2B
11	CYERA	AI data security	\$1.7B
12	perplexity	AI search engine	\$1.7B

Business Model and Industry Product Mix

Core Revenue: Consumption-based API billing (pay-per-token), recurring subscription revenue for consumer AI applications (e.g., ChatGPT Plus), and high-value enterprise platform licenses. (Source)
Profit Engine: Multi-year enterprise agreements integrating AI into internal workflows and massive infrastructure/compute provisioning. (Source)
Enterprise: High-touch, deep customization focusing on securely deploying private LLMs and fine-tuning domain-specific AI models. Over 40% of enterprises are integrating Large Language Models into internal workflows. (Source)

Monetisation Reality: AI absorbed US\$202.3 Bn of venture capital in 2025, yet OpenAI alone is projected to burn about US\$17 Bn in 2026. (BusinessTats; AI Funding Tracker, 2026)

Product Mix — Compute: Chips, servers and cloud capacity form the largest revenue pool in the stack today. NVIDIA alone booked US\$215.9 Bn of revenue in FY2026, up 65% year on year. (Yahoo Finance, Jul 2026)

Foundation Models: Frontier LLMs sold per token or per seat via APIs — the layer where OpenAI, Anthropic, Google and Meta compete head-on. (Statista, 2025)

Data & MLOps Layer: Pipelines, vector stores and governance tooling. 2025 M&A showed buyers paying most for trusted, real-time data rather than models alone. (AI Data Insider, 2026)

Applications & Agents: Copilots, coding agents and vertical SaaS — the fastest-growing layer, where AI-native targets command 20-60x ARR. (FE International, 2026)

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PREPARATION COMMITTEE

Value Chain

Infrastructure & Compute

- GPUs, data centres, power and networking
- Most capital-intensive layer; NVIDIA dominates AI accelerators
- Power and cooling are the binding constraints

Data Engineering & Pipelines

- Ingestion, cleaning, labelling and vector stores
- Batch pipelines cannot feed real-time agents
- Became the scarce asset in 2025 M&A

Model Development & Training

- Pre-training and fine-tuning of foundation models
- Frontier training runs cost hundreds of millions
- Only a handful of labs can fund this layer

Deployment & MLOps

- Serving, monitoring, evaluation and guardrails
- Inference cost per token is the key unit metric
- Where reliability at scale is won or lost

Integration & Application

- Copilots, agents and vertical SaaS
- Closest to the customer; best software gross margins
- Fastest-growing layer by revenue

Hardware &
Compute Infrastructure



Data Pipelines
& Engineering



Foundation
Models



MLOps &
Deployment



AI Applications
& Agents

Porter's 5 Forces

Competitive Rivalry **VERY HIGH**

- Frontier labs and hyperscalers compete head-on
- Price per token has fallen steeply
- Open-weight models commoditise the base layer

Implication: Margins compress at the model layer; differentiation moves to distribution and workflow.

Threat of New Entrants **LOW at model layer**

- Training runs and GPU access gate the model layer
- But the app layer needs only an API key
- Entry barriers differ sharply by layer

Implication: Value accrues to whoever owns the customer, not whoever trains the model.

Power of Suppliers **VERY HIGH**

- NVIDIA dominates AI accelerator supply
- TSMC and HBM memory are bottlenecks
- Grid power is now a gating input

Implication: Supplier power caps industry profitability and sets the pace of the buildout.

Power of Buyers **RISING**

- Models increasingly interchangeable via APIs
- Enterprises multi-source across providers
- Low switching costs pressure pricing

Implication: Vendors must lock in via data, workflow and switching costs, not model quality alone.

Threat of Substitutes **MODERATE**

- Smaller open-weight models run on-premise
- Traditional software and manual process remain
- Cheaper distilled models replace frontier calls

Implication: Frontier pricing is disciplined by a credible cheaper alternative.

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Growth Drivers

AI Infrastructure Spend: Unprecedented buildouts driven by hyperscalers, with total AI infrastructure spend exceeding US\$325 Bn in 2025. [\(Source\)](#)

Enterprise GenAI Adoption: Generative AI is actively reducing enterprise content production costs by 30-50%. [\(Source\)](#)

Venture Capital Funding: AI absorbed US\$202.3 Bn of venture capital in 2025 — roughly half of all global VC investment. [\(Statista / Business sTats, 2026\)](#)

Recent Mergers & Acquisitions

Record Consolidation: 2025 saw 33 major AI and data acquisitions worth at least US\$157 Bn in disclosed value; Q1 2026 alone recorded 266 AI M&A deals, up 90% year on year. [\(AI Data Insider; CB Insights, 2026\)](#)

Google - Wiz (US\$32 Bn): The defining deal of 2025 and the largest pure software acquisition on record — roughly 64x revenue on about US\$500 Mn of ARR. [\(Value Add VC, 2026\)](#)

Buying the Data Layer: IBM - Confluent (US\$11 Bn), Salesforce - Informatica (US\$8 Bn) and Meta's US\$14.8 Bn Scale AI stake show buyers chasing governed, real-time data. [\(AI Data Insider, 2026\)](#)

Read-through for Students: Acquirers are paying for proprietary data, distribution and scarce talent — capabilities that cannot be replicated quickly — rather than for model quality alone. [\(FE International, 2026\)](#)

Emerging Trends

Shift to Data Infrastructure: M&A activity in 2025 revealed a strategic shift: enterprises stopped just acquiring models and began acquiring the trusted, real-time data infrastructure required to power autonomous agents for the next decade. [\(Source\)](#)

Private LLM Deployment: Industry leaders are actively shifting to private LLM deployments to ensure robust data security and compliance. [\(Source\)](#)

Agentic AI Moves to Production: Gartner expects 33% of enterprise software to embed agentic AI by 2028, shifting AI from assistance to autonomous execution. [\(Gartner via BusinessTats, 2026\)](#)

India as a Growth Market: India's AI market is forecast at about US\$18.1 Bn in 2026, with Asia Pacific contributing 28.5% of global AI revenue and AI expected to add US\$3 Tn to regional GDP by 2030. [\(Fortune Business Insights, 2026\)](#)

Key Business Risks

Data Quality & Governance Bottlenecks: Poor data quality, fragmented datasets, and batch pipelines updated weekly/monthly cannot support real-time autonomous AI agents. [\(Source\)](#)

Compute & Scaling Complexities: Scaling AI infrastructure requires overcoming severe bottlenecks in physical hardware, manufacturing supply chains, power, and cooling. [\(Source\)](#)

Regulatory Compliance: Navigating frameworks like GDPR, the AI Act, and SOC 2, alongside requirements for bias detection and transparent model explainability, remain critical barriers. [\(Source\)](#)

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Stock Performance & Valuation Ratios

Market data as at 1 August 2026

NVIDIA — Scale: Market capitalisation of about US\$4.86 Tn makes it the world's most valuable listed company. FY2026 revenue reached US\$215.9 Bn, up 65% year on year. [\(CompaniesMarketCap; Yahoo Finance, 2026\)](#)

Multiple Compression: NVIDIA trades on a forward P/E of roughly 22x — its lowest since 2019 — even as revenue sets records. Rising earnings, not a falling share price, drove the de-rating. [\(Yahoo Finance, Jul 2026\)](#)

Peer Spread: AMD trades near 73x forward earnings and Intel near 137x. High multiples here signal depressed current earnings, not superior quality — a common misreading. [\(Yahoo Finance, Jul 2026\)](#)

Microsoft — Capex Penalty: Shares fell about 24% during 2026 on concerns over heavy AI capital spending and possible disruption to core software revenue. [\(WEEX, Jul 2026\)](#)

Key takeaway: Markets are now rewarding delivered AI earnings and discounting capital expenditure whose payback is still unproven.

AI Health Metrics & Impact

- **Productivity Gains:** AI copilots boost developer productivity by 20-55%, and automation reduces repetitive enterprise task costs by up to 40%. [\(Source\)](#)
- **Operational Savings:** AI-driven cost reductions average 20-30% operational savings across deployed enterprises. [\(Source\)](#)
- **Adoption Velocity:** ChatGPT reached 100 million users in just 2 months, representing unprecedented consumer adoption velocity. [\(Source\)](#)

Key Financial & Valuation Risks

- **Infrastructure ROI Uncertainty:** The “Magnificent Seven” tech stocks collectively spent over \$200 billion on AI infrastructure in 2025. There remains market pressure to generate sufficient long-term software revenue to recoup massive data center CapEx. [\(Source\)](#)
- **Talent Shortage & Cost:** A severe talent shortage in advanced ML engineering, distributed systems, and hardware design drives up R&D payroll and creates execution risks. [\(Source\)](#)

Unit Economics (Conceptual Drivers)

Hardware / COGS: Enormous capital expenditures are required for GPU fleets, data center development, and physical engineering systems to bring compute capacity online. [\(Source\)](#)

Operational Overhead: Maintaining continuous retraining workflows, real-time data streaming, and edge/cloud infrastructure drives up ongoing maintenance costs. [\(Source\)](#)

Monetisation Mix: Revenue arrives as per-token API usage, consumer subscriptions and enterprise seats. Usage-based pricing means revenue scales with compute consumed, so gross margin depends on inference cost per token. [\(Statista, 2025\)](#)

Cash Burn vs Payback: Scale does not guarantee profitability: OpenAI is projected to burn about US\$17 Bn during 2026, underlining how far ahead of revenue the spending still runs. [\(AI Funding Tracker, 2026\)](#)

Power as a Cost Line: Electricity availability is now a binding constraint on AI growth. Hyperscalers are shifting from contracting for power to owning generation capacity, including nuclear and small modular reactors. [\(The AI Insider, 2026\)](#)

Build versus Buy: Almost half of all strategic technology deal value above US\$500 Mn in 2025 involved AI-native targets, double the 2024 share — acquiring capability is often cheaper than building a team. [\(FE International, 2026\)](#)